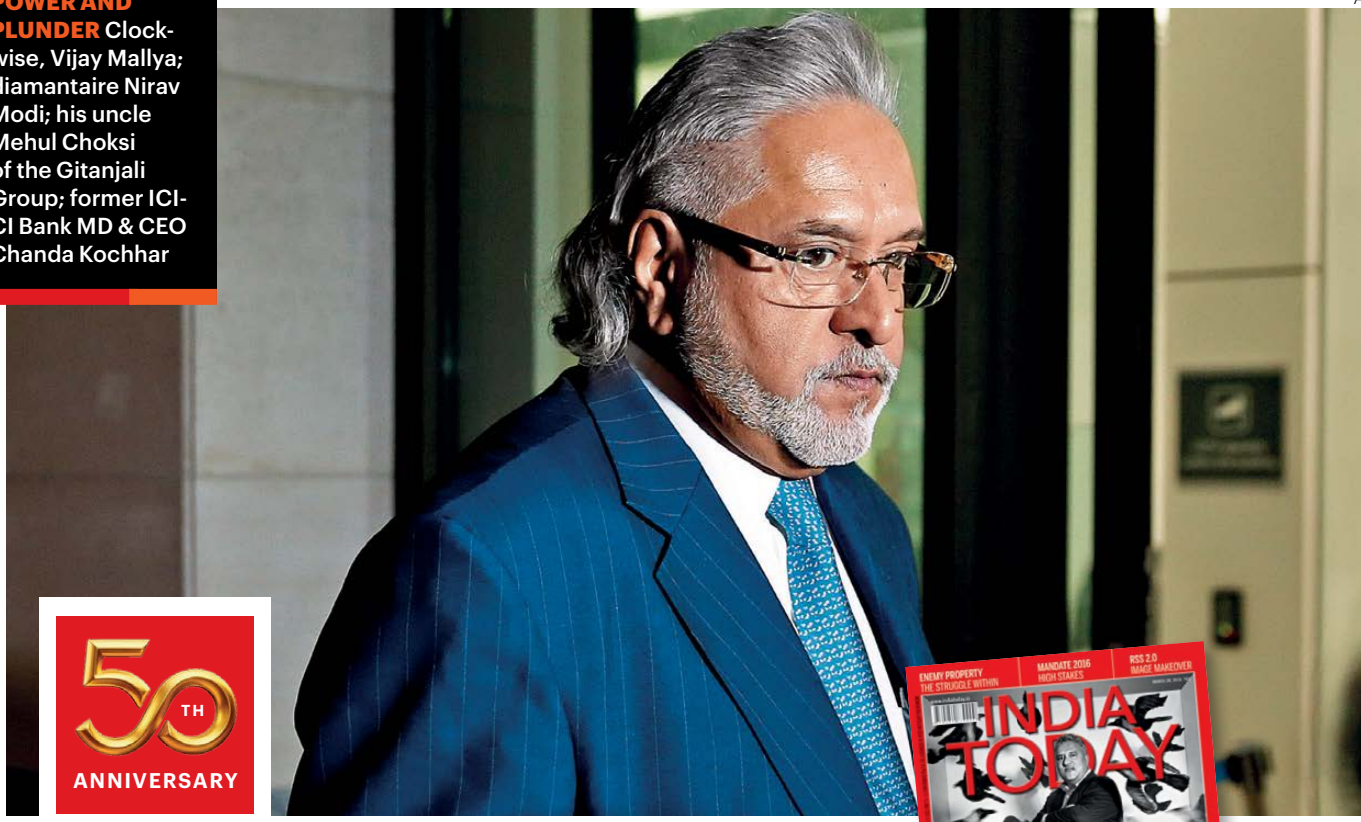
POWER AND PLUNDER Clockwise, Vijay Mallya; diamantaire Nirav Modi; his uncle Mehul Choksi of the Gitanjali Group; former ICICI Bank MD & CEO Chanda Kochhar

AP



50TH ANNIVERSARY

SCAMS 2015-2025

A DEFAULT SETTING

Across banks, conglomerates and startups, a cascade of crises laid bare the structural flaws beneath India's growth story—and the cost of ambition outpacing regulation



Mar. 28, 2016

When Vijay Mallya fled India in March 2016 after his Kingfisher Airlines collapsed under debt, few imagined the moment would become the opening image of a turbulent decade in Indian finance. Declared a fugitive economic offender and locked in a long extradition battle in the UK, Mallya's case put a face to a problem Indian banks had quietly carried for years—reckless lending, weak recovery and fragile oversight.

What followed was a succession of scandals that moved rapidly across sectors—non-banking financial intermediaries, conglomerates and even startups—each revealing a different fault line.

In 2018, Punjab National Bank disclosed India's largest banking fraud, involving diamantaire Nirav Modi and his uncle Mehul Choksi of the Gitanjali Group, accused of exploiting unauthorised overseas guarantees to raise over Rs 11,000 crore before fleeing the country. The same year, ICICI Bank's then MD & CEO Chanda Kochhar came under formal scrutiny over alleged conflict-of-interest issues linked to loans to the Videocon Group, bringing corporate governance into sharp focus.

In late 2018, IL&FS collapsed under unsustainable debt, roiling the shadow-banking sector. A year later, the failure of PMC Bank—after concealed exposure to real estate group HDIL surfaced—locked up the savings of thousands of depositors and exposed deep

MALLYA'S CASE PUT A FACE TO A PROBLEM INDIAN BANKS HAD CARRIED FOR YEARS—RECKLESS LENDING, WEAK RECOVERY, POOR OVERSIGHT